

Different Types of Cost in Project Management

$$\left\{ \begin{array}{l} \text{Project cost} = \end{array} \right. \left. \begin{array}{l} \text{Direct cost} \\ \text{Indirect cost} \\ \text{Fixed cost} \\ \text{Variable cost} \\ \text{Sunk cost} \end{array} \right\}$$

In their book, *Project Management Workflow*, Dan Epstein and Rich Maltzman describe the different kinds of costs that make up the whole cost of a project. The 5 costs they cover are:

1. Direct cost
2. Indirect cost
3. Fixed cost
4. Variable cost
5. Sunk cost

Direct cost

Direct costs are those directly linked to doing the work of the project. For example, this could include hiring specialised contractors, buying software licences or commissioning your new building.

Indirect cost

These costs are not specifically linked to your project but are the cost of doing business overall. Examples are heating, lighting, office space rental (unless your project gets its own offices hired specially), stocking the communal coffee machine and so on.

Fixed cost

Fixed costs are everything that is a one-off charge. These fees are not linked to how long your project goes on for. So if you need to pay for one-time advertising to secure a specialist software engineer, or you are paying for a day of Agile consultancy to help you start the project up the best way, those are fixed costs.

Variable cost

These are the opposite of fixed costs - charges that change with the length of your project. It's more expensive to pay staff salaries over a 12 month project than a 6 month one. Machine hire over 8 weeks is more than for 3 weeks.

Sunk cost

These are costs that have already been incurred. They could be made up of any of the types of cost above but the point is that they have happened. The money has gone. These costs are often forgotten in business cases, but they are essential to know about.

A sunk cost is a cost that has already occurred and cannot be recovered by any means. Sunk costs are independent of any event and should not be considered when making [investment](#) or project decisions. Only relevant costs (costs that relate to a specific decision and will change depending on that decision) should be considered when making such decisions.

All sunk costs are considered [fixed costs](#). However, it is important to realize that not all fixed costs are considered sunk costs. Recall that sunk costs cannot be recovered. Take, for example, equipment (a fixed cost). [Equipment](#) can be resold or returned at a determined price. Therefore, it is not a sunk cost.

Sunk cost is also known as past cost, embedded cost, prior year cost, stranded cost, sunk capital, or retrospective cost.